Eternal Ltd. (Zomato)

NSE: ETERNAL | BSE: 543320 | Sector: Internet / E-Commerce | Founded: 2008 | HQ: Gurugram, India
CMP: Rs.232 | 52W High: Rs.368 | 52W Low: Rs.195 | Mkt Cap: Rs.2,30,000 Cr | P/E: ~390x | EPS (FY25): Rs.0.60

Eternal Limited (formerly Zomato Limited) is an India-based technology company operating four key segments: Food Delivery, Quick Commerce (Blinkit), Going-out (District), and B2B Supplies (Hyperpure). In FY25, the company rebranded to Eternal Limited to separate its consumer brands from the parent entity. It operates across 800+ cities in food delivery and 100+ cities in quick commerce, primarily in India, with a limited presence in the UAE. In August 2024, it expanded its going-out segment by acquiring Paytm's entertainment ticketing business, integrating it into the District platform.

Investment Thesis & Rating

- Dominant food delivery platform (~55% share): Adj. EBITDA margin 5.4% of NOV in Q3 FY26 (₹531 Cr), confirming mature profitability. 853mn orders in FY25; AOV ₹453 (vs ₹428 FY24).
- Blinkit inflection: First-ever quarterly adj. EBITDA profit (₹4 Cr) in Q3 FY26 vs ₹156 Cr loss in Q2. 2,027 stores operational (target 3,000 by Mar-27); ~45% quick commerce market share.
- IOCC transition: Blinkit shifted to inventory ownership, inflating reported revenue (~80% of NOV on own inventory). Like-for-like NOV growth ~130% YoY (Q3 FY26) with higher long-term ROCE expected.
- Monetization scaling: Ad revenue from restaurants & FMCG growing faster than orders. Hyperpure turned adj. EBITDA positive (₹1 Cr) in Q3 FY26.
- Strong balance sheet: ₹17,820 Cr cash (Q3 FY26). New initiative Bistro (10-min food delivery) live in Delhi-NCR & Bangalore with encouraging early traction.

Analysts Rating

BUY

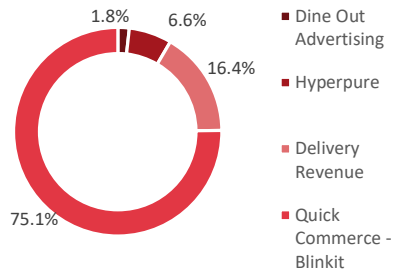
Target : ₹ 375

Note: Target derived from UBS & Kotak Securities

Business Model & Revenue Drivers

- Food Delivery (16% of Q3 FY26 rev): Commission + delivery/platform fees + Gold. Adj. rev ₹3,053 Cr (+26.5% YoY); NOV ₹9,846 Cr (+16.6% YoY). Adj. EBITDA margin 5.4% of NOV (record high).
- Quick Commerce / Blinkit (75% rev; IOCC impact): 10-min grocery delivery. Rev ₹12,256 Cr (vs ₹1,399 Cr YoY). NOV ₹13,300 Cr (+121% YoY). 2,027 stores; EBITDA breakeven.
- Hyperpure / B2B (5% rev): Restaurant & dark-store supplies. Rev +36% YoY; first adj. EBITDA profit (₹1 Cr). Mgmt targets $1 Bn revenue in coming years.
- Going-Out / District (4% rev): Dining reservations + entertainment ticketing. NOV ₹2,587 Cr (+20% YoY). Adj. EBITDA loss ₹121 Cr; breakeven in 4–6 quarters. Target $3 Bn NOV by FY30.
- IOCC: Blinkit's shift to inventory ownership inflates reported revenue (full GOV vs prior commission). Like-for-like growth ~64% YoY.

Revenue Mix



Industry Landscape & Competitive Advantage

- India online food delivery market: ~$55 Bn (2025E), projected ~$337 Bn by 2034 (~22% CAGR). Quick commerce: India is fastest-growing market globally (~17% p.a.); Blinkit leads with ~45% share.
- Duopoly in food delivery: Zomato + Swiggy control ~90%+. In q-commerce: Blinkit (~45%) vs Swiggy Instamart (~27%) vs Zepto (~25%). ONDC remains a structural long-term risk.
- Key competitors: Swiggy (NSE, Mkt Cap: Rs.76,000 Cr, loss-making), Zepto (private, $5 Bn valuation), Amazon/Flipkart entering q-commerce. Intense pricing competition eroding near-term margins.
- **Competitive moats**: (a) largest restaurant network (2.97L partners), (b) AI-driven delivery routing reducing cost/order, (c) Blinkit's first-mover dark-store density, (d) cross-platform ecosystem creating user stickiness.

Peer Valuation Snapshot

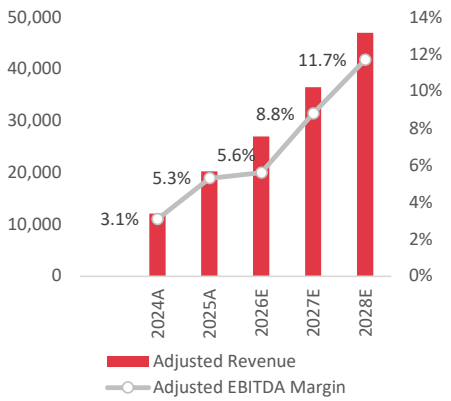
Metric	Eternal	Swiggy	Doordash
M.Cap	Rs.2.3L Cr	Rs.76K Cr	$77 Bn
P/E (TTM)	~390x	Loss	~80x
EV/Sales	~3.6x	~4.8x	~5.1x
EV/EBITDA	~150x	N/M	~25x
Rev Growth	67%	52%	28%

Financial Summary & Forward Estimates

Financial Performance (In Crs)	2024A	2025A	2026E	2027E	2028E
Revenue	₹ 12,114	₹ 20,243	₹ 57,000	₹ 72,000	₹ 90,000
Adjusted Revenue	₹ 12,114	₹ 20,243	₹ 27,000	₹ 36,500	₹ 47,000
Adjusted EBITDA	₹ 372	₹ 1,079	₹ 1,500	₹ 3,200	₹ 5,500
Net Profit	₹ 351	₹ 527	₹ 450	₹ 1,200	₹ 2,500
Adjusted EBITDA Margin	3.1%	5.3%	5.6%	8.8%	11.7%
Net Profit Margin	2.9%	2.6%	1.7%	3.3%	5.3%
Adjusted Revenue Growth	71%	67%	33%	35%	29%
EPS	₹ 0.38	₹ 0.60	₹ 0.48	₹ 1.28	₹ 2.68

Note:
1. FY26E onwards on reported basis (includes IOCC impact).
2. Forward estimates reflect consensus broker projections.
3. Adj. revenue (like-for-like) growth ~33% in FY26E. Adj. EBITDA margin computed on adj. revenue.

Revenue with EBITDA Margin

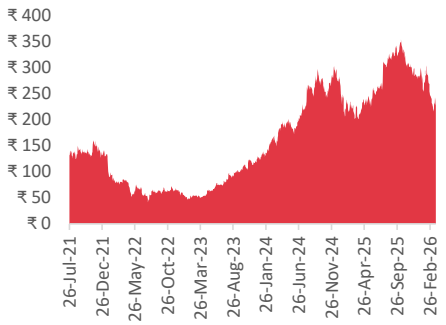


Key Catalysts & Risks

Key Catalysts

- Blinkit at EBITDA breakeven; path to 3,000 stores by Mar-27 with improving unit economics
- Ad-tech revamp in FY26 to unlock higher yields; ad revenue growing faster than orders
- CEO Albinder Dhindsa brings execution focus; Goyal retains strategic oversight as Vice Chairman
- Bistro (10-min food) early traction in 38 kitchens; tapping unaddressed demand pockets
- Tier 2/3 expansion with low-CAC models; 400+ emerging cities addressable

Key Risks

- Intense Q-commerce competition from Zepto, Swiggy, Amazon; aggressive discounting may persist
- IOCC model inflates revenue optically; investors may misread growth if not adj. for accounting shift
- Profitability still thin (Rs.102 Cr PAT on Rs.16,315 Cr rev); execution risk on multiple fronts
- Regulatory overhang: gig worker reclassification, FSSAI, ONDC, GST rate changes on q-commerce
- Valuation premium (~390x P/E) priced for perfection; limited margin of safety in bear case

Stock Price - 5 Years